

Table 59.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the scallop height by taking the difference between the highest high and lowest low in the pattern. Add the result to the right scallop peak for upward breakouts or subtract it from the lowest low for downward breakouts to get the target price. The bottom portion of the table shows how often the measure rule works.
Breakout	A close above the right lip high marks an upward breakout, and a close below the lowest low is a downward breakout.
Stop location	For upward breakouts, place the stop below the lowest low in the pattern. For downward breakouts, place the stop slightly above the right rim high. Move the stop as price advances. See Table 59.7 for guidance.
Trends	Trade with the market trend, especially downward breakouts in bear markets.

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching half height target	73%	63%	66%
Percentage reaching full height target	52%	34%	34%
Percentage reaching 2× height	34%	11%	13%
Percentage reaching 3× height	25%	4%	7%

Measure rule, targets. I wish I had good news for the measure rule, but it seldom works. The bottom portion of the table shows the numbers, but only a third to a half of the scallops will hit their predicted targets based on the full height of the scallop.